

ECONOMY

LECTURES



POVERTY

MODULE - 12



LOOK AT THE FOLLOWING FACTS!

- 1 190 million people go hungry daily, sometimes with hidden hunger.
- 2 3,000 children die daily due to poor diet related illnesses.
- 3 A third of the children below the age of five are underweight.
- 4 A quarter of global deaths of kids below five happen in India.
- 5 A third of global neo-natal deaths occur in India.
- 6 There is pervasive under nutrition, especially in rural areas with protein and energy malnutrition.
- 7 Government policy supports subsidised delivery of cereals, but not proteins.
- 8 Majority of the population are ignorant about vitamins and minerals.

POVERTY

AFTER INDEPENDENCE IN 1947...



- 1 Provision of minimum **basic needs** to the people and **reduction of poverty** were the major challenges.
- 2 **Upliftment of the poorest** of the poor.
- 3 Integrating the poor into the **mainstream** and achieving minimum **standard of living** for all was the need of the hour in 1947.

POVERTY

FREEDOM FROM POVERTY MEANS...



- Enough to **eat**
- Adequate **shelter**
- Access to **education and health**
- Protection from **violence**
- **A voice in** what happens in their communities

POVERTY

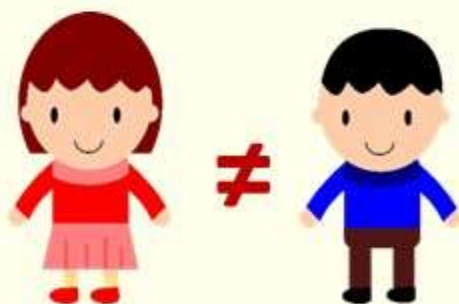
POOR AND VULNERABLE...



- They possess few assets.
- They reside in **kutchra hutments** with walls made of **baked mud** and roofs made of **bamboo, wood** etc.
- Poorest of the **poor** do not even have such **dwellings**.
- In rural areas they are mostly **landless**.
- If at all they possess land, it is only **dry or wasteland**.
- **Starvation and hunger** are key features.
- They do not get to have **even two meals** a day.
- They lack **basic literacy** and skills and have very **limited economic opportunities**.
- Mostly employed in **informal sector**.

POVERTY

MORE ON POVERTY...



- Malnutrition is high.
- Ill health or serious illness makes them physically weak.
- Borrow money from lenders at high interest rates.
- Primary cooking fuel is firewood and cow dung cakes.
- Do not have access to safe drinking water and sanitation is normally absent.
- Evidence of extreme gender inequality in education, gainful employment etc.
- Women receive less care.
- Mostly landless agricultural labourers.

ECONOMY

POVERTY

MORE ON POVERTY...



THE POVERTY LINE

World Bank Global Poverty Line:
Threshold in daily income per person



There are several ways of determining poverty.

- One way is to determine it by the monetary value (per capita expenditure) of the minimum calorie intake.
- The minimum calorie intake is 2,400 calories for a rural person and 2,100 calories for a person in urban area.
- Poverty line was defined based on the requirement of these many calories.
- The government uses monthly per capita expenditure as proxy for income of households to identify the poor.

POVERTY

DRAWBACKS OF IDENTIFICATION OF POVERTY ON MONTHLY PER CAPITA EXPENDITURE

- 1 It does not differentiate between very poor and other poor.
- 2 It would be difficult to identify, who among the poor need help the most.
- 3 It does not take into account access to basic education, health care, drinking water and sanitation.
- 4 It does not take into consideration social factors such as illiteracy, ill health, lack of access to resources, discrimination or lack of civil and political freedom.

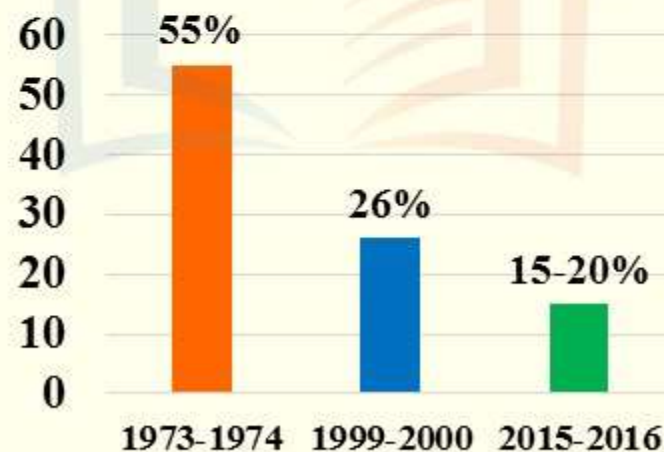
Because of these drawbacks, this measurement does not reflect ground reality.

At present, there are around 15 - 20% people living below poverty line in our country and the states like Bihar, Odisha are leading with around 40% population below poverty line.



POVERTY – OTHER STATISTICS

Percentage of population
Below Poverty Line (BPL)



- 1 On the basis of consumption expenditure, based on the data collected by National Sample Survey Office, poverty figures are arrived at.
- 2 In 1973-74, around 55% of total population were below poverty line and by 1999-2000, it has fallen to 26% and at present around 15-20% are below poverty line.
- 3 Majority of the people below poverty line are in rural areas.
- 4 States like Bihar and Odisha have a substantial population below poverty line.



WHAT CAUSES POVERTY?

INDIVIDUAL CIRCUMSTANCES

- 1 Low levels of education and skills
- 2 Infirmary (physical or mental weakness), ill health, sickness
- 3 Discrimination. These can be caused as a result of
 - Social, economic and political inequality
 - Social exclusion
 - Unemployment
 - Indebtedness
 - Unequal distribution of wealth

GENERAL CIRCUMSTANCES

- 1 Low capital formation
- 2 Lack of infrastructure
- 3 Lack of demand
- 4 Pressure of population
- 5 Lack of social / welfare nets

Aggregate poverty is just the sum of individual poverty



BRITISH RULE AND POVERTY



- 1 Substantial deindustrialization took place during British rule. India exported cotton yarn and imported clothes from England.
- 2 British policies involved sharply raising rural taxes and enabled merchants and money lenders to become large land owners.
- 3 During British rule India began to export food grains and as a result 26 million people died in famines between 1875 and 1900.
- 4 India became a market for British exports and manpower for British imperial armies.
- 5 Cheaper mechanized goods destroyed Indian handicrafts
- 6 Indian farmers suffered badly because of various systems of tax collection
- 7 Overall British Raj impoverished millions of people in India.
- 8 Indian natural resources were plundered and industries worked to produce goods at lower prices for the British.

These were the reasons for the state of poverty at the time of independence.

ECONOMY





POVERTY... GROUND REALITY AFTER INDEPENDENCE

- 1 Ownership of land is the important determinant of material well being and those who own land are better off.
- 2 Low levels of education and skills.
- 3 Ill health and sickness.
- 4 Class structure prevalent in our country.
- 5 Predominantly rural agrarian population with little access to education and health.
- 6 Predominant rural poor are small farmers / marginal farmers.
- 7 They basically dependent on rains.
- 8 Due to rapid growth of population, per head availability of land declined steadily.
- 9 SCs and STs were not able to participate in the emerging employment opportunities in different sectors of the economy.



POVERTY ALLEVIATION IN INDEPENDENT INDIA

APPROACH NO - 1

GROWTH ORIENTED APPROACH

- 1 It was thought that rapid increase in GDP and per capita income would spread to all the sections of society through trickle down affect and in due course of time it would improve the lives of the poorer sections of population also.
- 2 This was the main focus of planning in 1950s and early 1960s.
- 3 Hence, it was thought that rapid industrial development and green revolution in select regions would benefit the underdeveloped regions and the most backward sections of the community.





POVERTY ALLEVIATION IN INDEPENDENT INDIA

APPROACH NO - 1



THE FAILURES OF GROWTH ORIENTED APPROACH

- 1 The overall growth and growth of agriculture and industry was not impressive.
- 2 Population growth has resulted in a very low growth in per capita incomes.
- 3 The gap between poor and rich has widened.
- 4 The green revolution further widened the disparities regionally and between large and small farmers.
- 5 Inability to redistribute land in most of the States as well as oral landlord-tenant relation without documentation are further drawbacks

Hence, in the overall perspective the benefits of the economic growth have not trickled down to the poor.



POVERTY ALLEVIATION IN INDEPENDENT INDIA

APPROACH NO - 2

SPECIFIC POVERTY ALLEVIATION PROGRAMMES



FOOD FOR WORK PROGRAMME

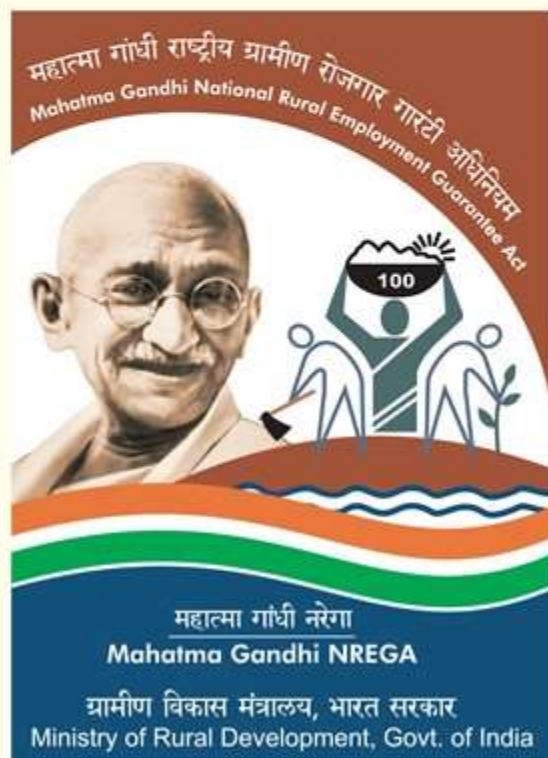
- 1 Due to the failure of the first approach, Government started looking at alternatives to address specifically the poor.
- 2 The theory was income and employment for the poor. It was planned to be raised through the creation of incremental assets and by means of work generation.
- 3 This has been initiated from the 3rd five year plan and enlarged progressively.
- 4 One of the noted programmes initiated in 1970s was Food for Work.



POVERTY ALLEVIATION IN INDEPENDENT INDIA

APPROACH NO - 2

SPECIFIC POVERTY ALLEVIATION PROGRAMMES



- 5 In subsequent years, self-employment programmes like Rural Employment Generation Programme (REGP), Prime Minister's Rozgar Yojana (PMRY) and Swarna Jayanthi Shahari Rozgar Yojana (SJSRY) were implemented.
- 6 Subsequently, Govt. encouraged Self Help Groups (SHGs) through bank linkages.
- 7 Out of all the programmes, the most important one at present is Mahatma Gandhi NREGA, which was started implementing from 2005. It creates minimum 100 days of unskilled manual work for all the adult volunteers in rural areas.



POVERTY ALLEVIATION IN INDEPENDENT INDIA

APPROACH NO - 3

PROVIDING MINIMUM BASIC AMENITIES TO THE PEOPLE



- 1 Providing minimum basic amenities to the people can be traced starting from 5th five year plan.
- 2 The basic theory behind it is poor may not be able to buy for themselves all the essential goods and services. Hence, they have to be supplemented up to at least certain minimum standards by social consumption and investment in the form of essential food grains, education, health, nutrition, drinking water, housing, communication, electricity etc.



POVERTY ALLEVIATION IN INDEPENDENT INDIA

APPROACH NO - 3

PROVIDING MINIMUM BASIC AMENITIES TO THE PEOPLE



3

The major programmes that aim at improving the food and nutritional status of the poor are Public Distribution System (National Food Security Act, 2013), Mid day Meal Scheme and ICDS etc.

4

In addition to the above mentioned programmes, there is another most important programme i.e. National Social Assistance programme. Under NSAP, elderly people who do not have anyone to take care of them are given pension to sustain themselves. Poor women who are destitute and widows are also covered under this scheme.

1

MID-DAY MEAL SCHEME



মধ্যাহ্ন আহার প্রকল্প
Mid Day Meal Scheme

1

It provides one meal with specified calories for the students up to class 8.

2

It is provided in government or government aided schools.

The main aim is to ensure attendance in the school, at the same time, to reduce malnutrition

2

INTEGRATED CHILD DEVELOPMENT SERVICES (ICDS)



Towards a new dawn

**Ministry of Women & Child
Development (MWCD)**

1

Launched on 2nd Oct, 1975

2

To take care of nutritional needs of children in the age group of 0-6 years, pregnant women and lactating mothers.

3

It is basically supplementary nutrition

3 NATIONAL FOOD SECURITY ACT, 2013



- 1 It is expected to cover 50% of urban population and 75% rural population.
- 2 It is to provide subsidized food grains at Rs 3/2/1 per kg for rice/wheat/coarse cereals respectively.
- 3 All the states implemented it
- 4 5 kg of food grains will be given per capita per month.
- 5 It would ensure food security and enhance nutritional status.
- 6 This also includes cash for pregnant women.



POVERTY ALLEVIATION IN INDEPENDENT INDIA



POSITIVES

- 1 The percentage of absolute poor in some states reduced drastically.
- 2 Because of advent of Information and Communication Technology (ICT), now the targeting of the beneficiaries have become easy.
- 3 Bank linkage programmes to Self Help Groups made a radical difference.
- 4 Rural infrastructure increased substantially.
- 5 Active involvement of Panchayat Raj institutions improved the situation in some states as far as rural empowerment is concerned.





POVERTY ALLEVIATION IN INDEPENDENT INDIA



NEGATIVES

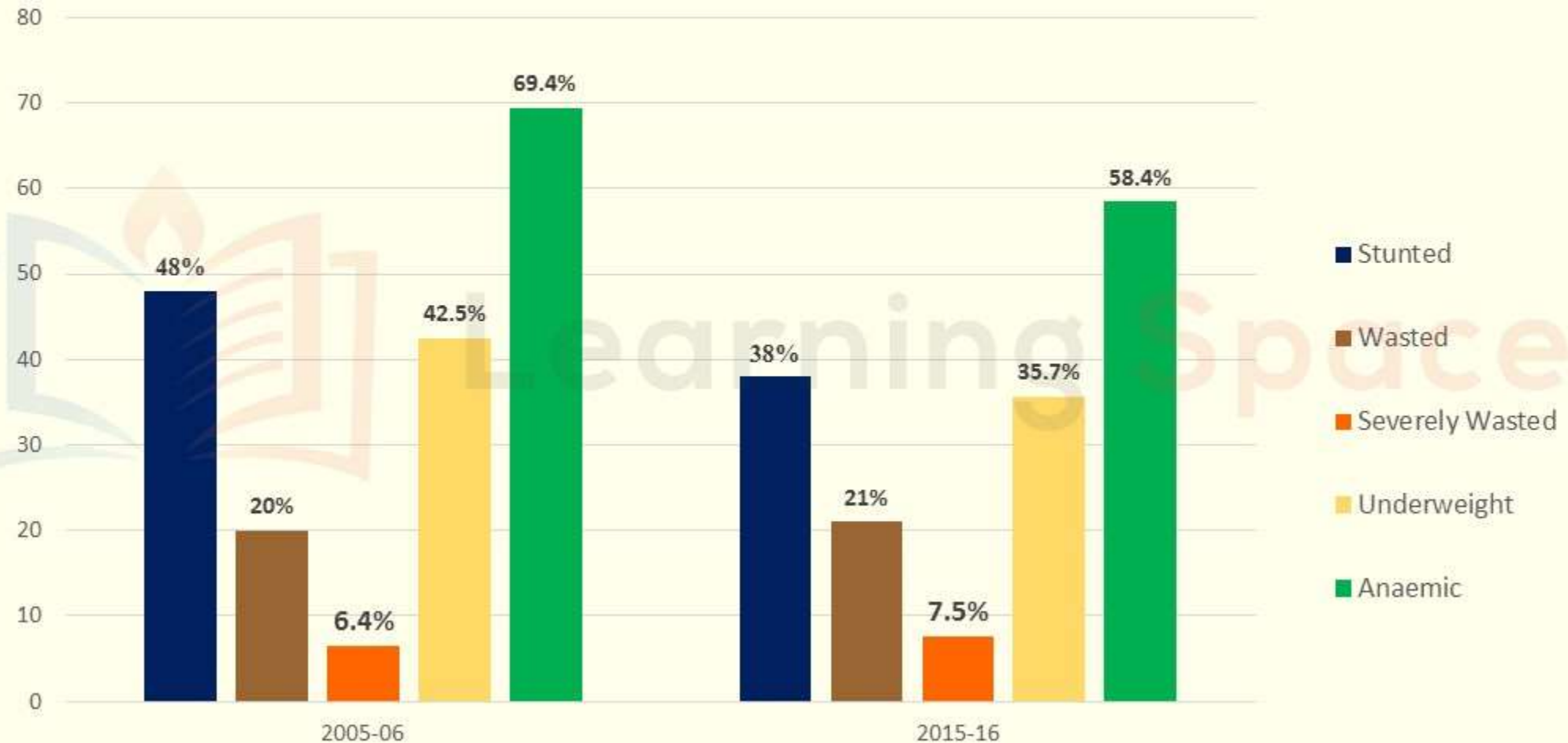


- 1 Malnutrition continued to be problem even after 70 years of independence.
- 2 Several schemes were implemented by the Government. Mostly, there was change in nomenclature, but there was no radical transformation.
- 3 No radical change in the ownership of assets, processes of production etc.
- 4 Unequal distribution of land and other assets was the biggest drawback in our country.

NATIONAL FAMILY HEALTH SURVEY-4

CHILDREN UNDER 5 YEARS	2005-06	2015-16
STUNTED	48%	38%
WASTED	20%	21%
SEVERELY WASTED	6.4%	7.5%
UNDERWEIGHT	42.5%	35.7%
ANAEMIC	69.4%	58.4%

CHILDREN UNDER 5 YEARS





POVERTY ALLEVIATION IN INDEPENDENT INDIA



NEGATIVES

- 5 Targeting the poor was the most difficult aspect and benefits from the poverty alleviation programmes have also been appropriated by the non poor. However, now with availability of technology / Aadhaar linkage, this can be solved to some extent
- 6 Corruption is another problem.
- 7 Rural landlords called the shots and targeting the beneficiaries is sometimes on the party affiliation lines.
- 8 Poverty can be eradicated only when the poor start contributing to the growth by their active involvement in the growth process.



Over all, the poverty alleviation programmes can be termed as only partial success.

WE EXPRESS OUR
SINCERE THANKS
FOR VIEWING THIS VIDEO

Presented by



Learning Space

For Suggestions:

suggestions@learningspace.in

To Contact us:

info@learningspace.in

OUR TEAM

G. V. Rao

D. Sunil Kumar

V. Dayakar James

Y. Sri Poojita

G. Ravi Babu

D. Joji

K. Victor Babu

Visit us at:

www.learningspacedigital.com

0 8 6 6 -2 4 4 4 4 7 2

0 9 8 4 9 9 4 2 2 9 9